Risk and Return Problems

Chapter 7

Introduction to Financial Management (Pope)

Question 3 (Homework):

An investor purchased Google stock this morning for $884.00. Google stock has a beta of 1.38. The current risk free rate is 2.00%, while the historical market portfolio risk premium is 6%. If CAPM holds for Google, what should Google sell for in one year? (Assume that Google will not pay a dividend in the coming year)

Question 7 from Homework:

A stock is priced today at $12.57. Analysts have a consensus view that the stock will be valued at $15.24 next year. The stock will not pay a dividend in the coming year. After a little research, you know that the stock has a beta of 1.06. The risk free rate in the economy is 4.00%, while the market risk premium is 7.00%.

If CAPM and the analysts are correct, what price SHOULD the stock be trading at TODAY?

Question 11 from Homework:

A portfolio composed of the stocks below earned a return of 12.00% last year, while the S&P 500 earned 9.00%. The portfolio manager has asked you for a performance bonus as he beat the S&P 500. The risk free rate was 4.00% last year, while the market portfolio risk premium was 6.00%. Let's evaluate his claim.

PORTFOLIO:

STOCK	BETA	DOLLARS INVESTED
Volunteer (VOL)	1.50	$2,000.00
Bulldog (DOG)	1.40	$2,000.00
Commodore (DORE)	2.00	$4,000.00

What was the required return for his portfolio last year based on the risk?

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